

Dabur India

Quality of Earnings and Working-Capital Peg

NSE: DABUR · ₹ crore unless stated · as of FY2026 consolidated accounts (year to 31 March 2026)

A buy-side quality-of-earnings review of Dabur India on the FY2023–FY2026 consolidated accounts: a bridge from the headline EBITDA a seller quotes to the operating EBITDA a buyer should pay for, a cash-conversion and accruals test, a working-capital analysis in days, and a working-capital peg built four ways for a sale and purchase agreement.

What this is

- Operating EBITDA rebuilt from revenue, cost of sales and operating expenses and tied to reported operating income; treasury income, other non-operating income and exceptionals bridged out of the headline.

How it is built

- Cash conversion measured with treasury income removed from both EBITDA and operating cash flow; accruals ratio and revenue-quality flags across four years.
- Trade working capital defined as the SPA would (receivables, inventory, payables; cash-free, debt-free), with days and the cash conversion cycle.
- A peg from four methods — four-year average, average days, two-year run-rate, seasonality-adjusted — with weights as inputs and the spread between methods shown as the negotiating range.

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Key outputs (live)

Headline EBITDA FY2026 (₹ crore)	3,014.8
Adjusted operating EBITDA	2,473.2
Adjusted as % of headline	82.0%
Cash conversion	115.1%
Working-capital peg	365.6
Adjustment if closing were today	(282.9)

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Dabur India Limited consolidated financial statements FY2023–FY2026 (years to 31 March) via Yahoo Finance for DABUR.NS; quarterly revenue for the seasonality ratio from the same source.

Total assets for the accruals ratio are approximated; the ratio is directional. Transaction multiple and peg weights are stated inputs.

The review is a portfolio exercise on public information. Dabur is not, to the author's knowledge, in any sale process.

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Four years of consolidated figures as reported — the raw material

INCOME STATEMENT

	FY2023A	FY2024A	FY2025A	FY2026A
Revenue from operations	11,426.5	12,261.6	12,400.0	13,042.0
Cost of goods sold	(6,316.1)	(6,496.4)	(6,583.5)	(6,880.6)
Gross profit	5,110.4	5,765.2	5,816.5	6,161.4
Gross margin	44.7%	47.0%	46.9%	47.2%
Operating expenses before depreciation	(2,930.9)	(3,347.2)	(3,487.0)	(3,688.2)
Operating EBITDA (revenue – COGS – opex)	2,179.5	2,418.0	2,329.5	2,473.2
Depreciation and amortisation	(311.0)	(399.2)	(445.6)	(468.9)
Operating income (EBIT from operations)	1,868.5	2,018.8	1,883.9	2,004.3
check: reported operating income	1,868.5	2,018.8	1,883.9	2,004.3
Interest and treasury income	361.1	393.1	408.2	366.2
Other income, incl. gains on investments (derived: PBT – operating	42.6	73.8	116.5	195.4
Exceptional items (– = charge)	15.6	(16.8)	(3.8)	(20.0)
Finance costs	(69.1)	(110.2)	(146.9)	(125.5)
Profit before tax	2,218.7	2,358.7	2,257.9	2,420.4
check: reported profit before tax	2,218.7	2,358.7	2,257.9	2,420.4
Tax	(517.4)	(547.4)	(517.5)	(551.7)
Profit after tax (reported)	1,707.2	1,842.7	1,767.6	1,895.0
Effective tax rate	23.3%	23.2%	22.9%	22.8%
memo: share-based payment expense (inside opex)	51.2	50.4	13.5	28.6

The public data feed does not carry this line separately; it is the balancing item to reported profit before tax and is treated as non-operating

BALANCE SHEET (selected)

Trade receivables	848.8	898.7	888.5	715.4
Inventories	2,024.2	1,947.0	2,300.1	2,321.6
Trade payables	2,186.6	2,421.7	2,825.3	2,954.3
Current provisions	214.0	249.9	260.5	310.2
Cash and current investments (treasury book)	1,051.6	2,323.1	2,655.5	5,147.8
Borrowings	1,173.8	1,365.1	950.1	1,287.3
Shareholders' equity	8,973.3	9,866.3	10,800.7	11,419.5
Property, plant and equipment	2,408.7	2,770.0	2,966.3	2,977.4
Goodwill and intangibles	1,298.0	1,231.8	1,148.9	1,056.5

CASH FLOW (selected)

Net cash from operating activities (after tax)	1,488.4	2,013.5	1,986.8	2,578.6
Capital expenditure	(509.1)	(563.9)	(569.5)	(420.1)
Free cash flow	979.3	1,449.6	1,417.3	2,158.5
Dividends paid	(921.3)	(965.8)	(974.8)	(1,419.0)

Yahoo Finance's headline 'EBITDA' for Dabur is EBIT plus depreciation, where EBIT is profit before tax plus finance costs — so it includes treasury income and exceptional items. That headline is what a seller quotes. Operating EBITDA above is rebuilt from revenue, cost of sales and operating expenses, and ties to reported operating income on the check row.

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From the headline the seller quotes to the EBITDA a buyer should pay for

HEADLINE TO ADJUSTED EBITDA

	FY2023A	FY2024A	FY2025A	FY2026A
Headline EBITDA (PBT + finance costs + D&A)	2,598.8	2,868.1	2,850.4	3,014.8
Less: interest and treasury income	(361.1)	(393.1)	(408.2)	(366.2)
Less: other income incl. investment gains (derived)	(42.6)	(73.8)	(116.5)	(195.4)
Add back / (remove): exceptional items	(15.6)	16.8	3.8	20.0
Adjusted operating EBITDA	2,179.5	2,418.0	2,329.5	2,473.2
check: operating EBITDA from the Statements sheet, ex exceptionals	2,179.5	2,418.0	2,329.5	2,473.2
Adjusted as % of headline	83.9%	84.3%	81.7%	82.0%
Adjusted EBITDA margin	19.1%	19.7%	18.8%	19.0%
Headline EBITDA margin	22.7%	23.4%	23.0%	23.1%

ITEMS CONSIDERED AND LEFT IN

Share-based payments as % of adjusted EBITDA (left in as a real cost)	2.3%	2.1%	0.6%	1.2%
Decline in intangibles (amortisation, inside D&A, below EBITDA)		66.2	82.9	92.4

WHAT THE DIFFERENCE IS WORTH

Illustrative transaction multiple of EBITDA	20.0x
Headline less adjusted EBITDA, FY2026	541.6
Value at the multiple — what a buyer would overpay on the headline	10,832
Treasury book that generates the income (cash and current investments)	5,148
Overpayment as a multiple of the treasury book itself	2.1x

Indian consumer staples change hands at high-teens to mid-twenties

The buyer gets this as cash at closing — once. Paying a multiple for its income as well is paying twice

Nearly a fifth of the headline EBITDA is treasury income on a cash pile of over ₹5,000 crore. In a transaction the cash transfers at face value, so a buyer who capitalises its income at 20x has paid for it twice. This is the single most common adjustment in an Indian consumer QoE and it is usually the largest.

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Does the adjusted EBITDA turn into cash?

EBITDA TO CASH

	FY2023A	FY2024A	FY2025A	FY2026A
Adjusted operating EBITDA	2,179.5	2,418.0	2,329.5	2,473.2
Less: tax (charge used as proxy for cash tax)	(517.4)	(547.4)	(517.5)	(551.7)
Operating cash flow before interest received (reported OCF less tre	1,127.3	1,620.4	1,578.6	2,212.4
Cash conversion: OCF before interest / (adjusted EBITDA – tax)	67.8%	86.6%	87.1%	115.1%
for comparison: reported OCF / headline EBITDA	57.3%	70.2%	69.7%	85.5%
Capex / depreciation	1.6x	1.4x	1.3x	0.9x
Free cash flow / profit after tax	57.4%	78.7%	80.2%	113.9%

Reported OCF includes interest received on the treasury book; it is removed for the same reason as on the Bridge

ACCRUALS

Accruals ratio: (profit after tax – OCF) / average total assets	1.6%	(1.1%)	(1.4%)	(3.8%)
Direction over four years	Improving (cash gaining on profit)			

Total assets are approximated (equity + debt + payables + provisions + other); negative is good, meaning cash exceeds profit

REVENUE QUALITY

Revenue growth	7.3%	1.1%	5.2%
Receivables growth	5.9%	(1.1%)	(19.5%)
Inventory growth	(3.8%)	18.1%	0.9%
Flag: receivables or inventory growing faster than revenue	Clean	Review	Clean

FY2025 inventory grew 18% on 1% revenue growth — the year of the distributor inventory correction that Dabur disclosed. FY2026 receivables then fell 19% on 5% growth as channel stock normalised. Both are consistent with the company's own account and neither is a revenue-recognition concern; a QoE would still ask for the channel-inventory data to confirm it.

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Days, trends and the definition the SPA will use

TRADE WORKING CAPITAL

	FY2023A	FY2024A	FY2025A	FY2026A
Trade receivables	848.8	898.7	888.5	715.4
Inventories	2,024.2	1,947.0	2,300.1	2,321.6
Less: trade payables	(2,186.6)	(2,421.7)	(2,825.3)	(2,954.3)
Trade working capital	686.4	424.0	363.3	82.7
as % of revenue	6.0%	3.5%	2.9%	0.6%

DAYS

Receivable days (on revenue)	27.1	26.8	26.2	20.0
Inventory days (on cost of goods sold)	117.0	109.4	127.5	123.2
Payable days (on cost of goods sold)	126.4	136.1	156.6	156.7
Cash conversion cycle (days)	17.7	0.1	(3.0)	(13.5)

DEFINITION FOR THE SALE AND PURCHASE AGREEMENT

Included: trade receivables, inventories, trade payables. Excluded: cash and investments (cash-free / debt-free), borrowings, tax balances, provisions, capex creditors.

Current provisions (excluded from the peg; treated as debt-like) 214.0 249.9 260.5 310.2

Payable days have stretched from 126 to 157 over four years while inventory days sat near 120. A buyer will ask whether the payables extension is structural (supplier financing, longer terms) or a closing-date effect that unwinds after completion. If it unwinds, the buyer funds roughly ₹500 crore of working capital in the first year. That question, not the peg arithmetic, is where the negotiation happens.

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A normal level of working capital, so the buyer pays for the business and not for the closing date

METHOD 1 — AVERAGE OF THE FOUR YEAR-END BALANCES

Average trade working capital, FY2023–FY2026 389.1

METHOD 2 — AVERAGE DAYS APPLIED TO THE LATEST YEAR

Average trade working capital as % of revenue, four years 3.3%

Applied to FY2026 revenue 424.8

METHOD 3 — LAST TWO YEARS ONLY (the post-correction run-rate)

Average of FY2025 and FY2026 223.0

METHOD 4 — SEASONALITY-ADJUSTED (stated)

Ratio of average quarterly revenue to the March quarter 1.09

March is Dabur's seasonally softest quarter; a March year-end understates average working capital

Method 1 scaled by the seasonality ratio 425.4

THE PEG

Weight on method 1 25.0%

Weight on method 2 25.0%

Weight on method 3 25.0%

Weight on method 4 25.0%

Proposed working-capital peg 365.6

Trade working capital at the latest balance sheet (31 March 2026) 82.7

Price adjustment if closing were today: closing less peg (– = buyer receive) (282.9)

per share (₹) (1.59)

as % of market capitalisation (0.4%)

HOW SENSITIVE THE ADJUSTMENT IS TO THE METHOD

Lowest of the four methods 223.0

Highest of the four methods 425.4

Spread between them — the size of the argument 202.4

The seller will argue for method 3 (the recent run-rate, lowest peg, smallest adjustment); the buyer for method 4 (seasonally adjusted, highest peg). The spread between them is the negotiating range. A real peg uses twelve to twenty-four monthly balance sheets from the data room; Indian filers publish only half-yearly, so this one uses year-ends and a stated seasonality ratio, and says so.

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The quality-of-earnings findings on one page

EARNINGS

Headline EBITDA, FY2026 (₹ crore)	3,014.8
Adjusted operating EBITDA, FY2026	2,473.2
Adjusted as % of headline	82.0%
Adjusted EBITDA margin	19.0%
Value of the difference at 20x	10,832

CASH

Cash conversion, FY2026 (before treasury income)	115.1%
Capex / depreciation, FY2026	0.9x
Accruals ratio, FY2026	(3.8%)
Accruals direction	Improving (cash gaining on profit)

WORKING CAPITAL

Trade working capital at 31 March 2026	82.7
Proposed peg	365.6
Price adjustment if closing were today (– = buyer receives)	(282.9)
Spread between peg methods	202.4
Payable days: FY2023 → FY2026	<u>126 → 157</u>

• The headline EBITDA overstates operating earnings by close to a fifth, and almost all of it is interest on a ₹5,000-crore treasury book. The cash transfers at face value in any deal; a buyer who also capitalises its income at 20x has paid for the same asset twice. This is the finding a QoE exists to make.

• Cash conversion is strong once the same treasury income is removed from both sides, capex runs close to depreciation, and accruals are negative and improving. The operating earnings are real.

• Working capital is the negotiation. Payables have stretched by a month over four years, trade working capital has fallen to almost nothing, and a March year-end is seasonally soft. Whether the payables extension holds after completion is worth around ₹500 crore to whoever gets the answer right.

• The peg spread between the seller's method and the buyer's is the size of the argument, and it is small relative to the equity value. The EBITDA adjustment is where the money is.

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Every check must read TRUE

INTEGRITY CHECKS

Rebuilt operating income ties to reported in every year	TRUE
Rebuilt profit before tax ties to reported in every year	TRUE
Derived other income is between 0% and 3% of revenue in every year (a plausibility bound o	TRUE
Adjusted EBITDA on the Bridge equals operating EBITDA on the Statements	TRUE
Adjusted EBITDA is below headline in every year	TRUE
Effective tax rate is between 20% and 26% in every year	TRUE
Cash conversion before treasury income is between 60% and 130% in every year	TRUE
Cash conversion cycle equals DSO + DIO – DPO	TRUE
Payable days have lengthened over the period	TRUE
Peg weights sum to 100%	TRUE
Peg lies between the lowest and highest method	TRUE
Price adjustment equals closing working capital less the peg	TRUE
Seasonality ratio is above 1 (March is a soft quarter)	TRUE
Treasury income is below 5% of the treasury book (a sanity check on the classification)	TRUE

MODEL STATUS

MODEL OK

The first two checks matter most: the operating EBITDA used throughout is rebuilt from revenue and costs and must tie to the reported operating income and profit before tax. Everything after that inherits its credibility from them.